81. Since 1980, the share of the tertiary sector in the total G.D.P. of India has

(a) Shown an increasing trend
(b) Shown a decreasing trend
(c) Remained Constant
(d) Been fluctuating

Ans. (a) : The share of the tertiary sector (service sector) in when the question was asked total GDP or Gross Domestic Product of India was increasing which was a sign of economic development. This reproduces the trend shown by western countries as they were developing.

82. The term "imperial preference" was applied to the:

(a) Special privileges on British imports in India
(b) Racial discrimination by the Britishers
(c) Subordination of Indian interest to that of the British
(d) Preference given to British political agents over Indian Princes

Ans. (a) : Imperial Preference (later Commonwealth Preference) was a proposed system of reciprocally leveled tariffs or free trade agreements between different Dominions and Colonies within the British Commonwealth of Nations. The purpose of such practices was to promote the mutual prosperity, and thus unity of allied imperial nations.

83. Assertion (A) : Devaluation of a currency may promote export.
Reason (R) : Price of the country's products in the international market may fall due to devaluation.

(a) Both A and R are True and R is the correct explanation of A
(b) Both A and R are True but R is not a correct explanation of A
(c) A is true but R is False
(d) A is false but R is True

Ans. (a) : Devaluation is a conscious decision taken by Central Bank of the country to lower the external value of domestic currency. After devaluation of the rupee Indian goods would become cheaper for foreigners.

84. Assertion (A) : Fiscal deficit is greater than budgetary deficit.
Reason (R) : Fiscal deficit is the borrowing from the Reserve Bank of India plus other liabilities of the government to meet its expenditure.

(a) Both A and R are True and R is the correct explanation of A
(b) Both A and R are True but R is not a correct explanation of A
(c) A is true but R is False
(d) A is false but R is True

Ans. (a) : Budgetary deficit is the difference of total receipts of the government and total expenditure of the government. Whereas fiscal deficit is the difference of total expenditure and total receipts except borrowing. That's why the fiscal deficit is greater than budgetary deficit.
Fiscal deficit = Revenue receipts + non-debt creating capital receipts – Total expenditure ;
Budget deficit = Total receipts – Total expenditure.

85. Assertion (A) : Information technology is fast becoming a very important field of activity in India.
Reason (R) : Software is one of the major exports of the country and India has a very strong base in hardware.

(a) Both A and R are True and R is the correct explanation of A
(b) Both A and R are True but R is not a correct explanation of A
(c) A is true but R is False
(d) A is false but R is True

Ans. (c) : Yes, it is true that information technology is fast becoming a very important field of activity in India because now a days it is used everywhere in development of every sector. It is applied in field of medicine, research, banking etc. It is also true that software is one of major exports of the country but India does not have strong base in hardware.

86. From the balance sheet of a company, it is possible to:

(a) Judge the extent of profitability of this company
(b) Assess the profitability and size of the company
(c) Determine the size and composition of the assets and liabilities of the company
(d) Determine the market share, debts and assets of the company

Ans. (c) : In financial accounting, a balance sheet or statement of financial position is a summary of the financial status of an organisation which can be a sole proprietorship, a business partnership or a company. Assets, liabilities and ownership of equity are listed as on a specific date, which is normally the end of the financial year. A balance sheet is the "snapshot of a company's financial condition".

87. Persons below the poverty line in India are classified as such based on whether:

(a) They are entilied to a minimum prescribed food basket.
(b) They get work for a prescribed minimum number of days in a year
(c) They belong to agricultural labourer household and the scheduled caste/tribe social group
(d) Their daily wages fall below the prescribed minimum wages

Ans. (a) : Poverty line in India is classified on the basis of calories per day available to a person. It is a simple average and does not show the actual availability of food to a person or a household.

88. In a business concern, there are four functions namely, Production (PR), Finance (FN) Personnel (PS) and Marketing (MK). The Customer (C) may also play a role in the prosperity of the concern. Match List-I with List-II and select the correct answer using the codes given below the lists:

List-I (Pie Diagram)		List-II (Statement)
A.		1. Customer is the controlling factor
B.		2. Marketing is an integrating factor while customer is the controlling factor
C.		3. Marketing is the controlling factor
D.		4. Marketing is more important than others
		5. Marketing is as equal a function as the others

Codes:

	A	B	C	D
(a)	4	3	1	2
(b)	5	4	1	2
(c)	4	3	2	5
(d)	5	4	2	1

Ans. (b) : The correct match is (b) A-5, B-4, C-1, D-2

89. Consider the following statements:
Regional disparities in India are high and have been rising in recent years because:
1. There is persistent investment over time only in select locales
2. Some areas are agro-climatically less conducive to development
3. Some areas continue to face little or no agrarian transformation and the consequent lack of social and economic opportunities.
4. Some areas have faced continuous political instability.
Which of the above statements are correct?

(a) 1, 2 and 3 (b) 1, 2 and 4
(c) 1, 3 and 4 (d) 2, 3 and 4

Ans. (a) : Regional disparities in India are high and have been increasing in recent years, because only in selected sites, frequent investments has being made. Some areas are less agro-climatically developed and some areas are completely oriented towards agricultural transformation and as a result, they are facing a lack of social and economic opportunities. Hence, the required answer will be option (a).

90. Which one of the following statements regarding the levying, collecting and distribution of Income Tax is correct?

(a) The Union levies, collects and distributes the proceeds of income tax between itself and the states
(b) The Union levies, collects and keeps all the proceeds of income tax to itself
(c) The Union levies and collects the tax but all the proceeds are distributed among the states
(d) Only the surcharge levied on income tax is shared between the Union and the states

Ans. (a) : Article 270 of the Constitution permitted mandatory sharing of the net proceeds of income tax levied and collected by the Union with the States. Such proceeds assigned to States did not form part of the Consolidated Fund of India. Article 272 provided for sharing of Union excise duties, but Parliament by law so provides.

91. Consider the following statements:
Industrial development in India, to an extent, is constrained by–
1. Lack of adequate entrepreneurship and leadership in business.
2. Lack of savings to invest.
3. Lack of technology skill and infrastructure.
4. limited purchasing power among the larger masses.
Which of the above statements are correct?

(a) 1, 2 and 3 (b) 1, 3 and 4
(c) 2, 3 and 4 (d) 1, 2 and 4

Ans. (b) : Industrial development in India is constrained due to several factors. India is a developing country with world's second largest population. Most of the population is being employed in agriculture sector in rural areas. Most of the businesses are owned by big business houses. Some of the key factors which are responsible for the slow industrial growth in India are lack of business leadership and entrepreneurship because people don't want to take risk. Along with that India has to highly depend upon western countries for technology. As a developing country, per capita income is low in India and due to this, people have not much money to spend.